

**Table 7.11** Special Features

| Description                                    | Bull Market | Bear Market |
|------------------------------------------------|-------------|-------------|
| Lower left bottom, performance                 | 46%         | 29%         |
| Lower right bottom, performance                | 47%         | 30%         |
| Even bottom, performance                       | 38%         | 34%*        |
| Higher left volume, performance                | 45%         | 31%         |
| Higher right volume, performance               | 49%         | 27%         |
| Median days from launch price to left bottom   | 22          | 21          |
| Median days from right bottom to ultimate high | 92          | 51          |
| Large rise between valleys, performance        | 48%         | 30%         |
| Small rise between valleys, performance        | 44%         | 29%         |
| Median rise between valleys                    | 14%         | 26%         |

\* From 18 samples.

However, the stock can return to the launch price after a big W breaks out. Keep that in mind when setting targets. Look for price to stall just short of the launch price. [Figure 7.2](#) shows an example of that. The launch price is point A and price climbs to F, which is just below the price of A.

The last line in the table shows the stock returns to the launch price 70% of the time, on average, in bull markets. To use this finding, convert into a percentage the distance from the current price to the launch price. If it's a high percentage, then it'll probably be unrealistic.

You can run the potential gain by [Table 7.3](#). For example, if the current price is 40 and the launch price is 50, that means a gain of 25% or  $((50 - 40)/40 \times 100)$ . [Table 7.3](#) says that almost half (46%) will fail to see price rise more than 25%.

[Table 7.11](#) shows features that might improve trading a big W.

**Lower valley performance.** I checked the performance of big Ws where the price of the left bottom was above, below, or equal to the right bottom.